Syllabus Edition
First teaching 2025
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Measuring Business Size

Exam code: 0450, 0986 & 0264, 0774

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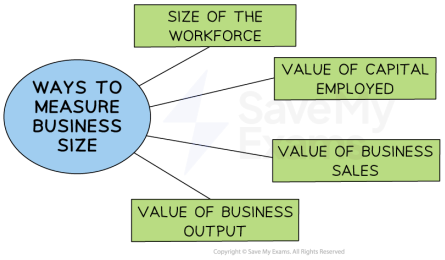
Methods of measuring business size

- A simple way to classify businesses is to consider their **size**



Business size can be measured in several ways, including the size of the workforce, the value of capital employed and the value of sales or output

Size of the workforce

- A measure of how many workers are in the business
- Small and medium-sized businesses (**SME**s) employ less than 250 employees
- Large businesses have 250 or more employees

Value of capital employed by the business

- Capital employed is a measure of all the capital (money, equipment, buildings) that is currently invested in a business

Value of business sales

- The total **sales revenue** achieved during a trading period

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- The volume of sales can also be used to measure business size

Help me understand

Value of business output

- The **financial worth of goods produced,** even though they may not all be sold
- It is calculated using the formula:

$$\text{Total costs} \times \text{Quantity}$$

- The volume of output can also be used to measure business size

Case Study

Comparing business size

Company	Size of the workforce	Capital employed	Value o
Futuristic Microchips	• 4 Designers • 5 Maintenance staff • 9 Total employees	• High tech production line - $100,000	• 5,00 Micro $100 = $50
Tasty Satsumas	• 400 Farm workers • 18 Managers • 418 Total employees	• Basic fruit-picking tools • $20,000	• 500, orang $1= $

- **Futuristic Microchips** is the largest organisation using the measures of number of employees and capital employed
- **Tasty Satsumas is** the same size as **Futuristic Microchips** in terms of the value of output

Problems when measuring business size

- Each method of measuring business size has significant limitations

Limitations of measures of business size

Method	Limitations
Size of the workforce	• The method of production can influence this metric significantly ○ Capital-intensive businesses produce high levels of output with

	a small volume of output
	• The nature of workers' contracts can make this measure unreliable
	  ○ Some businesses hire **part-time** workers, while others prefer **full-time** workers
	  ○ Short-term, **zero hours** or **agency worker** contracts may not be included in workforce measurement

Value of capital employed	• Not accurate when **comparing labour-intensive** and **capital-intensive** production methods
	  ○ European manufacturing businesses tend to have high levels of **capital**, **such as robots or advanced machinery**, compared to those located in countries such as Vietnam and Indonesia
	  ○ **Property values** differ significantly across the world, and even between regions
	  ▪ For example, the value of property in Singapore is significantly greater than property in mainland China

Value of sales	• Businesses sell very **different products**
	  ○ Comparing a market stall selling sweets with a retailer of luxury handbags would be unrealistic, as their prices and volumes sold are very different
	• Selling **prices vary** between markets
	  ○ Businesses may sell products to customers in low-income markets at a lower price than in a higher-income market

Value of output	• High-value output can be produced by businesses with **very few employees** or with **limited capital employed** ○ For example, a **bespoke** jewellery maker may produce only a few expensive items each year • The value of output does not measure how successful a business has been at selling goods produced. If they are **left unsold**, they are a poor measure of business size

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